



Contracts of Employment Act 1972

1972 CHAPTER 53

An Act to consolidate certain enactments relating to contracts of employment. [27th July 1972]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Minimum period of notice

1.—(1) The notice required to be given by an employer to terminate the contract of employment of a person who has been continuously employed for thirteen weeks or more—

The rights of employer and employee to a minimum period of notice.

- (a) shall be not less than one week's notice if his period of continuous employment is less than two years,
- (b) shall be not less than two weeks' notice if his period of continuous employment is two years or more but less than five years,
- (c) shall be not less than four weeks' notice if his period of continuous employment is five years or more but less than ten years,
- (d) shall be not less than six weeks' notice if his period of continuous employment is ten years or more but less than fifteen years, and
- (e) shall be not less than eight weeks' notice if his period of continuous employment is fifteen years or more.

(2) The notice required to be given by an employee who has been continuously employed for thirteen weeks or more to terminate his contract of employment shall be not less than one week.

(3) Any provision for shorter notice in any contract of employment with a person who has been continuously employed for

thirteen weeks or more shall have effect subject to the foregoing subsections, but this section shall not be taken to prevent either party from waiving his right to notice on any occasion, or from accepting a payment in lieu of notice.

(4) Any contract of employment of a person who has been continuously employed for thirteen weeks or more which is a contract for a term certain of four weeks or less shall have effect as if it were for an indefinite period and, accordingly, subsections (1) and (2) of this section shall apply to the contract.

(5) Schedule 1 to this Act shall apply for the purposes of this and the next following section for ascertaining the length of an employee's period of employment and whether that period of employment has been continuous.

(6) It is hereby declared that this section does not affect any right of either party to treat the contract as terminable without notice by reason of such conduct by the other party as would have enabled him so to treat it before the passing of this Act.

The rights of
employee
in period
of notice.

2.—(1) If an employer gives notice to terminate the contract of employment of a person who has been continuously employed for thirteen weeks or more, the provisions of Schedule 2 to this Act shall have effect as respects the liability of the employer for the period of notice required by section 1(1) of this Act.

(2) If an employee who has been continuously employed for thirteen weeks or more gives notice to terminate his contract of employment, the provisions of Schedule 2 to this Act shall have effect as respects the liability of the employer for the period of notice required by section 1(2) of this Act.

(3) This section shall not apply in relation to a notice given by the employer or the employee if the notice to be given by the employer to terminate the contract must be at least one week more than the notice required by section 1(1) of this Act.

(4) So far as a contract purports to exclude or limit the obligations imposed on an employer by this section it shall be void.

Measure of
damages in
proceedings
against
employers.

3. If an employer fails to give the notice required by section 1 of this Act, the rights conferred by section 2 of this Act (with Schedule 2 to this Act) shall be taken into account in assessing his liability for breach of the contract.

Written particulars of terms of employment

Written
particulars
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employment.

4.—(1) Not later than thirteen weeks after the beginning of an employee's period of employment with an employer, the employer shall give to the employee a written statement identifying the parties, specifying the date when the employment

began, and giving the following particulars of the terms of employment as at a specified date not more than one week before the statement is given, that is—

- (a) the scale or rate of remuneration, or the method of calculating remuneration,
- (b) the intervals at which remuneration is paid (that is, whether weekly or monthly or by some other period),
- (c) any terms and conditions relating to hours of work (including any terms and conditions relating to normal working hours),
- (d) any terms and conditions relating to—
 - (i) entitlement to holidays, including public holidays, and holiday pay (the particulars given being sufficient to enable the employee's entitlement, including any entitlement to accrued holiday pay on the termination of employment, to be precisely calculated),
 - (ii) incapacity for work due to sickness or injury, including any provisions for sick pay,
 - (iii) pensions and pension schemes, and
- (e) the length of notice which the employee is obliged to give and entitled to receive to determine his contract of employment:

Provided that paragraph (d)(iii) of this subsection shall not apply to the employees of any body or authority if the employees' pension rights depend on the terms of a pension scheme established under any provision contained in or having effect under an Act of Parliament and the body or authority are required by any such provision to give to new employees information concerning their pension rights, or concerning the determination of questions affecting their pension rights.

(2) Every statement given to an employee under subsection (1) of this section shall include a note—

- (a) indicating the nature of the employee's rights under section 5 of the Industrial Relations Act 1971 (which 1971 c. 72. relates to the rights of workers in respect of trade union membership and activities) including, where an agency shop agreement or an approved closed shop agreement is in force which applies to him, the effect of that agreement on those rights, and
- (b) specifying by description or otherwise a person to whom the employee can apply for the purpose of seeking redress of any grievance relating to his employment, and the manner in which any such application should be made, and

- (c) either explaining the steps consequent upon any such application or referring to a document which is reasonably accessible to the employee and which explains those steps,

and any reference in subsection (5) of this section, in subsections (1) or (3) of section 5 of this Act or in subsections (1) to (6) of section 8 of this Act to that which is, or is to be, included, given or referred to in a statement under subsection (1) of this section shall be construed as including a reference to a note under this subsection, and any reference to that which is, or is to be, included, given or referred to in a statement under section 5(1) of this Act shall be construed accordingly.

(3) If there are no particulars to be entered under any of the heads of paragraph (d) or under any of the other provisions of subsection (1) of this section, that fact shall be stated.

(4) If the contract is for a fixed term, the statement given under subsection (1) of this section shall state the date when the contract expires.

(5) A statement given under subsection (1) of this section may, for all or any of the particulars to be given by the statement, refer the employee to some document which the employee has reasonable opportunities of reading in the course of his employment or which is made reasonably accessible to him in some other way.

(6) If not more than six months after the termination of an employee's period of employment, a further period of employment is begun with the same employer, and the terms of employment are the same, no statement need be given under subsection (1) of this section in respect of the second period of employment, but without prejudice to the operation of subsection (1) of the next following section if there is a change in the terms of employment.

(7) No account shall be taken under this section of employment during any period when the hours of employment are normally less than twenty-one hours weekly, and this section shall apply to an employee who at any time comes or ceases to come within the exception in this subsection as if a period of employment terminated or began at that time.

Changes
in terms of
employment.

5.—(1) If after the date to which a statement given under section 4(1) of this Act relates there is a change in the terms of employment to be included, or referred to, in that statement, the employer shall, not more than one month after the change, inform the employee of the nature of the change by a written

statement and, if he does not leave a copy of the statement with the employee, shall preserve the statement and ensure that the employee has reasonable opportunities of reading it in the course of his employment, or that it is made reasonably accessible to him in some other way.

(2) A statement given under subsection (1) of this section may, for all or any of the particulars to be given by the statement, refer the employee to some document which the employee has reasonable opportunities of reading in the course of his employment, or which is made reasonably accessible to him in some other way.

(3) If the employer in referring in the statement given under section 4(1) of this Act, or under subsection (1) of this section, to any such document indicates to the employee that future changes in the terms the particulars of which are given in the document will be entered up in the document (or recorded by some other means for the information of persons referring to the document), the employer need not under subsection (1) of this section inform the employee of any such change which is duly entered up or recorded not more than one month after the change is made.

(4) Where, after an employer has given to an employee a written statement in accordance with section 4(1) of this Act—

- (a) the name of the employer (whether an individual or a body corporate or partnership) is changed, without any change in the identity of the employer, or
- (b) the identity of the employer is changed, in such circumstances that, in accordance with paragraph 9 or paragraph 10 of Schedule 1 to this Act, the continuity of the employee's period of employment is not broken,

and (in either case) the change does not involve any change in the terms (other than the names of the parties) included or referred to in the statement, then, the person who, immediately after the change, is the employer shall not be required to give to the employee a statement in accordance with section 4(1) of this Act, but the change shall be treated as a change falling within subsection (1) of this section.

6. Sections 4 and 5 of this Act shall not apply to an employee if and so long as the following conditions are fulfilled in relation to him, that is to say—

Exclusion of certain contracts in writing.

- (a) the employee's contract of employment is a contract which has been reduced to writing in one or more documents and which contains express terms affording

the particulars to be given under each of the paragraphs in subsection (1) of section 4 of this Act, and under each head of paragraph (d) of that subsection ;

- (b) there has been given to the employee a copy of the contract (with any variations made from time to time), or he has reasonable opportunities of reading such a copy in the course of his employment, or such a copy is made reasonably accessible to him in some other way ; and
- (c) such a note as is mentioned in section 4(2) of this Act has been given to the employee or he has reasonable opportunities of reading such a note in the course of his employment or such a note is made reasonably accessible to him in some other way :

Provided that if at any time after the beginning of an employee's period of employment these conditions cease to be fulfilled in relation to him, the employer shall give the employee a written statement under section 4(1) of this Act not more than one month after that time.

Power of
Secretary
of State to
require
further
particulars.

7.—(1) The Secretary of State shall have power by order to provide that section 4 of this Act shall have effect as if such further particulars as may be specified in the order were included in the particulars to be included in a statement under that section.

(2) An order under subsection (1) of this section may contain such transitional and other supplemental and incidental provisions, including provisions amending subsection (1) of the said section 4, as appear to the Secretary of State to be expedient, and may be varied or revoked by a further order so made.

(3) Any such order shall be made by statutory instrument subject to annulment in pursuance of a resolution of either House of Parliament.

References to
tribunal as to
particulars of
terms of
employment.

8.—(1) Where an employer is required by section 4(1) or section 5(1) of this Act to give an employee a written statement, and the employer does not give such a statement to the employee within the time limited by those sections, the employee may require a reference to be made to an industrial tribunal to determine what particulars ought to have been included or referred to in a statement given so as to comply with the requirements of the said section 4 or the said section 5, as the case may be.

(2) Where a statement purporting to be a statement under section 4(1) or section 5(1) of this Act is given by an employer to an employee, and a question arises as to the particulars

which ought to have been included or referred to in the statement so as to comply with the requirements of the said section 4 or the said section 5, as the case may be, either the employer or the employee may require that question to be referred to an industrial tribunal.

(3) Where a statement under section 4(1) or section 5(1) of this Act given by an employer to an employee contains such an indication as is mentioned in section 5(3) of this Act, and

(a) any particulars purporting to be particulars of a change to which that indication relates are entered up or recorded in accordance with that indication, and

(b) a question arises as to the particulars which ought to have been so entered up or recorded,

either the employer or the employee may require that question to be referred to an industrial tribunal.

(4) Where, on a reference under subsection (1) of this section a tribunal determines particulars as being those which ought to have been included or referred to in a statement, the employer shall be deemed to have given to the employee a statement in which those particulars were included, or referred to, as specified in the decision of the tribunal.

(5) On determining a reference under subsection (2) of this section, a tribunal may either confirm the particulars as included or referred to in the statement given by the employer, or may amend those particulars, or may substitute other particulars for them, as the tribunal may determine to be appropriate; and the statement shall be deemed to have been given by the employer to the employee in accordance with the decision of the tribunal.

(6) On determining a reference under subsection (3) of this section, a tribunal may either confirm the particulars to which the reference relates, or may amend those particulars or may substitute other particulars for them, as the tribunal may determine to be appropriate; and particulars of the change to which the reference relates shall be deemed to have been entered up or recorded in accordance with the decision of the tribunal.

(7) Any matter required to be referred to an industrial tribunal in pursuance of this section shall be referred to, and determined by, an industrial tribunal in accordance with regulations made under Schedule 6 to the Industrial Relations Act 1971.

(8) An industrial tribunal shall not entertain a reference under this section in a case where the employment to which the reference relates has ceased unless an application requiring the reference to be made was, in accordance with the regulations referred to in subsection (7) of this section, made before the

end of the period of three months beginning with the date on which the employment ceased.

1964 c. 16. (9) In this section "industrial tribunal" means a tribunal established under section 12 of the Industrial Training Act 1964.

Excluded categories of employees

Excluded
categories of
employees.

1946 c. 22.

9.—(1) The foregoing sections of this Act shall not apply to any registered dock worker as defined by any scheme in force under the Dock Workers (Regulation of Employment) Act 1946 except when engaged in work which is not dock work as defined by the scheme.

(2) The foregoing sections of this Act shall not apply to—

(a) a person employed as master of or a seaman on a seagoing British ship having a gross registered tonnage of 80 tons or more, including a person ordinarily employed as a seaman who is employed in or about such a ship in port by the owner or charterer of the ship to do work of a kind ordinarily done by a seaman on such a ship while it is in port, or

(b) a person working under an indenture of apprenticeship recorded in accordance with the requirements of section 108 of the Merchant Shipping Act 1894 (apprenticeship to the sea service), or

1894 c. 60.

(c) a person employed as a skipper of or a seaman on a fishing boat for the time being required to be registered under section 373 of the said Act.

(3) Sections 4 and 5 of this Act shall not apply where the employee is the father, mother, husband, wife, son or daughter of the employer.

(4) Sections 4 and 5 of this Act shall apply to an employee who at any time comes or ceases to come within the exceptions provided for by or under this section as if a period of employment terminated or began at that time.

(5) The Secretary of State shall have power by order—

(a) to provide that all or any of the foregoing sections of this Act shall not apply to persons or to employment of such classes or descriptions as may be prescribed by the order, and

(b) to vary or revoke any of the provisions of subsections (1), (2) and (3) of this section.

(6) An order under the subsection (5) of this section may contain such transitional and other supplemental and incidental provisions as appear to the Secretary of State to be expedient, and may be varied or revoked by a further order so made.

(7) Any order under this section shall be made by statutory instrument, but no such order shall be made unless a draft of the order has been laid before Parliament and approved by a resolution of each House.

Supplemental

10.—(1) The Secretary of State shall have power by order to provide that this Act shall have effect—

- (a) as if for the reference to twenty-one hours in section 4(7), or
- (b) as if for each of the references to twenty-one hours in paragraphs 3 and 4 of Schedule 1 and paragraph 3(3) of Schedule 2,

Power to vary
number of
weekly
hours of
employment
necessary
to qualify
for rights.

there were substituted a reference to such other number of hours less than twenty-one as may be specified in the order.

(2) Orders under the foregoing subsection may specify different numbers of hours for the purposes of paragraphs (a) and (b), and an order under paragraph (b) shall affect the operation of Schedule 1 to this Act as respects periods before the order takes effect for the purposes of sections 1 and 2 of this Act, as well as respects later periods.

(3) An order under this section may contain such transitional and other supplemental and incidental provisions as appear to the Secretary of State to be expedient, and may be varied or revoked by a further order so made.

(4) An order under this section shall be made by statutory instrument, but no such order shall be made unless a draft of the order has been laid before Parliament and approved by a resolution of each House.

11.—(1) In this Act—

Interpretation.

“agency shop agreement” has the meaning assigned to it by section 11(1) of the Industrial Relations Act 1971;

“approved closed shop agreement” has the meaning assigned to it by section 17(1) of that Act;

“employee” means an individual who has entered into or works under (or, where the employment has ceased, worked under) a contract with an employer, whether the contract be for manual labour, clerical work or otherwise, be expressed or implied, oral or in writing, and whether it be a contract of service or of apprenticeship; and cognate expressions shall be construed accordingly.

(2) Sections 1 and 2 of this Act shall apply in relation to a contract all or any of the terms of which are terms which take effect by virtue of any provision contained in or having effect under an Act of Parliament, whether public or local, as they apply in relation to any other contract; and the reference in this subsection to an Act of Parliament includes, subject to any express provision to the contrary, an Act passed after this Act.

Work outside
Great Britain.

12.—(1) Sections 1 to 5 of this Act shall not apply in relation to employment during any period when the employee is engaged in work wholly or mainly outside Great Britain unless the employee ordinarily works in Great Britain and the work outside Great Britain is for the same employer.

(2) Subject to the foregoing subsection, this Act shall apply whatever the law governing the contract between the employer and the employee.

Repeals and
transitional
provisions.

13.—(1) The enactments specified in Schedule 3 to this Act are hereby repealed to the extent specified in the third column of that Schedule.

(2) Sections 1 and 2 of this Act shall apply in relation to any contract made before the commencement of this Act.

(3) Any notice, statement, particulars, information, copy or note given, date specified, order, application, determination, reference, indication, record or entry made or other thing done under any enactment repealed by this Act shall, if in force at the commencement of this Act, continue in force, and have effect as if given, specified, made or done under the corresponding provision of this Act.

(4) Where any period of time specified in an enactment repealed by this Act is current at the commencement of this Act, this Act shall have effect as if the corresponding provision thereof had been in force when that period began to run.

1963 c. 49.

(5) Notwithstanding anything in Schedule 1 to this Act, any week which counted as a period of employment for the purposes of the Contracts of Employment Act 1963 shall count as a period of employment for the purposes of this Act, and any week which did not break the continuity of a period of employment for the purposes of the Contracts of Employment Act 1963 shall not break the continuity of a period of employment for the purposes of this Act.

(6) Any enactment or other document referring to an enactment repealed by this Act shall be construed as referring to the corresponding provision of this Act.

(7) Nothing in the foregoing provisions of this section shall be taken as prejudicing the operation of section 38 of the Interpretation Act 1889 (which relates to the effect of repeals). 1889 c. 63.

14.—(1) This Act may be cited as the Contracts of Employment Act 1972. Short title and
application
to Northern
Ireland.

(2) This Act shall not form part of the law of Northern Ireland.

Section 1.

SCHEDULES

SCHEDULE 1

COMPUTATION OF PERIOD OF EMPLOYMENT

Preliminary

1.—(1) The employee's period of employment shall be computed in weeks in accordance with this Schedule, and the periods of two, five, ten and fifteen years mentioned in section 1 of this Act shall be taken as 104, 260, 520 and 780 weeks respectively.

(2) For the purpose of computing an employee's period of employment (but not for any other purpose), the provisions of this Schedule apply to periods during which the employee is engaged in work wholly or mainly outside Great Britain, and periods during which the employee is excluded by or under section 9 of this Act, as they apply to other periods.

General provisions as to continuity of period of employment

2. Except so far as otherwise provided by the following provisions of this Schedule, any week which does not count under paragraphs 3 to 6 of this Schedule breaks the continuity of the period of employment.

Normal working weeks

3. Any week in which the employee is employed for twenty-one hours or more shall count in computing a period of employment.

Employment governed by contract

4. Any week during the whole or part of which the employee's relations with the employer are governed by a contract of employment which normally involves employment for twenty-one hours or more weekly shall count in computing a period of employment.

Periods in which there is no contract of employment

5.—(1) If in any week the employee is, for the whole or part of the week—

- (a) incapable of work in consequence of sickness or injury, or
- (b) absent from work on account of a temporary cessation of work, or

- (c) absent from work in circumstances such that, by arrangement or custom, he is regarded as continuing in the employment of his employer for all or any purposes,

that week shall, notwithstanding that it does not fall under paragraph 3 or paragraph 4 of this Schedule, count as a period of employment.

(2) Not more than twenty-six weeks shall count under paragraph (a) of the foregoing sub-paragraph between any two periods falling under paragraphs 3 and 4 of this Schedule.

(3) Paragraph (b) of sub-paragraph (1) of this paragraph shall not apply to a temporary cessation of work on account of a strike in which the employee takes part.

Industrial disputes

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6.—(1) A week shall not count under paragraph 3, paragraph 4 or paragraph 5 of this Schedule if in that week, or any part of that week, the employee takes part in a strike.

(2) The continuity of an employee's period of employment is not broken by a week which does not count under this Schedule, and which begins after this Act comes into force, if in that week, or any part of that week, the employee takes part in a strike.

(3) Sub-paragraph (2) applies whether or not the week would, apart from sub-paragraph (1), have counted under this Schedule.

7. The continuity of the period of employment is not broken by a week which begins after this Act comes into force and which does not count under this Schedule, if in that week, or any part of that week, the employee is absent from work because of a lock-out by the employer.

Re-instatement after service with the armed forces, etc.

8.—(1) If a person who is entitled to apply to his former employer under Part II of the National Service Act 1948 (re- 1948 c. 64. instatement in civil employment) enters the employment of that employer not later than the end of the six months period mentioned in section 35(2)(b) of that Act, his previous period of employment with that employer (or if there was more than one such period, the last of those periods) and the period of employment beginning in the said period of six months shall be treated as continuous.

(2) The reference in this paragraph to Part II of the National Service Act 1948 includes a reference to that Part of that Act as amended, applied or extended by any other Act passed before or after this Act.

Change of employer

9.—(1) Subject to this paragraph and paragraph 10 of this Schedule, the foregoing provisions of this Schedule relate only to employment by the one employer.

(2) If a trade or business or an undertaking (whether or not it be an undertaking established by or under an Act of Parliament) is transferred from one person to another, the period of employment of an employee in the trade or business or undertaking at the time of the transfer shall count as a period of employment with the transferee, and the transfer shall not break the continuity of the period of employment.

(3) If by or under an Act of Parliament, whether public or local and whether passed before or after this Act, a contract of employment between any body corporate and an employee is modified and some other body corporate is substituted as the employer, the employee's period of employment at the time when the modification takes effect shall count as a period of employment with the second mentioned body corporate, and the change of employer shall not break the continuity of the period of employment.

SCH. 1

(4) If on the death of an employer the employee is taken into the employment of the personal representatives or trustees of the deceased, the employee's period of employment at the time of the death shall count as a period of employment with the employer's personal representatives or trustees, and the death shall not break the continuity of the period of employment.

(5) If there is a change in the partners, personal representatives or trustees who employ any person, the employee's period of employment at the time of the change shall count as a period of employment with the partners, personal representatives or trustees after the change, and the change shall not break the continuity of the period of employment.

10.—(1) If an employee of a company is taken into the employment of another company which, at the time when he is taken into its employment is an associated company of the first-mentioned company, his period of employment at that time shall count as a period of employment with the associated company and the change of employer shall not break the continuity of the period of employment.

1965 c. 62.

(2) In this paragraph company and associated company have the meanings assigned to them by section 48 of the Redundancy Payments Act, 1965.

Interpretation

11.—(1) In this Schedule, unless the context otherwise requires,—

“lock-out” means the closing of a place of employment, or the suspension of work, or the refusal by an employer to continue to employ any number of persons employed by him in consequence of a dispute, done with a view to compelling those persons, or to aid another employer in compelling persons employed by him, to accept terms or conditions of or affecting employment ;

“strike” means the cessation of work by a body of persons employed acting in combination, or a concerted refusal or a refusal under a common understanding of any number of persons employed to continue to work for an employer in consequence of a dispute, done as a means of compelling their employer or any person or body of persons employed, or to aid other employees in compelling their employer or any person or body of persons employed, to accept or not to accept terms or conditions of or affecting employment ;

“week” means a week ending with Saturday.

(2) For the purposes of this Schedule the hours of employment of an employee who is required by the terms of his employment to live on the premises where he works shall be the hours during which he is on duty or during which his services may be required.

SCHEDULE 2

Section 2.

RIGHTS OF EMPLOYEE IN PERIOD OF NOTICE

Preliminary

1.—(1) For the purposes of this Schedule the cases where there are normal working hours include cases where the employee is entitled to overtime pay when employed for more than a fixed number of hours in a week or other period, and, subject to the following sub-paragraph, in those cases that fixed number of hours (in this paragraph referred to as “the number of hours without overtime”) shall be the normal working hours.

(2) If in such a case—

(a) the contract of employment fixes the number, or the minimum number, of hours of employment in the said week or other period (whether or not it also provides for the reduction of that number or minimum number of hours in certain circumstances), and

(b) that number or minimum number of hours exceeds the number of hours without overtime,

that number or minimum number of hours (and not the number of hours without overtime) shall be the normal working hours.

(3) In this Schedule the “period of notice” means the period of notice required by section 1(1) or, as the case may be, section 1(2) of this Act.

Employments for which there are normal working hours

2.—(1) This paragraph shall apply if there are normal working hours for the employee when employed under the contract of employment in force in the period of notice, and if during any part of those normal working hours—

(a) the employee is ready and willing to work but no work is provided for him by his employer, or

(b) the employee is incapable of work because of sickness or injury, or

(c) the employee is absent from work in accordance with the terms of his employment relating to holidays.

(2) If the employee's remuneration for employment in normal working hours, whether by the hour or week or other period, does not vary with the amount of work done in the period, the employer shall be liable to pay the employee for the normal working hours as much as the amount which would have been payable if the employee had been employed throughout the part of the normal working hours covered by paragraphs (a), (b) and (c) of sub-paragraph (1) of this paragraph.

(3) If sub-paragraph (2) does not apply, the employer shall be liable for the part of the normal working hours covered by paragraphs (a), (b) and (c) of sub-paragraph (1) of this paragraph to pay to the employee a sum not less than remuneration for that part of

SCH. 2 the normal working hours calculated at the average hourly rate of remuneration payable to him by the employer in respect of the period of four weeks ending with the last complete week before the notice was given.

(4) In arriving at the said average hourly rate of remuneration only the hours when the employee was working, and only the remuneration payable for, or apportionable to, those hours of work, shall be brought in; and if for any of the said four weeks no such remuneration was payable by the employer to the employee, account shall be taken of remuneration in earlier weeks so as to bring the number of weeks of which account is taken up to four.

(5) Where, in arriving at the said average hourly rate of remuneration, account has to be taken of remuneration payable for, or apportionable to, work done in hours other than normal working hours, and the amount of that remuneration was greater than it would have been if the work had been done in normal working hours, account shall be taken of that remuneration as if—

(a) the work had been done in normal working hours, and

(b) the amount of that remuneration had been reduced accordingly.

(6) For the purposes of the application of sub-paragraph (5) of this paragraph to a case falling within paragraph 1(2) of this Schedule, sub-paragraph (5) shall be construed as if, for the words “had been done in normal working hours”, in each place where those words occur, there were substituted the words “had been done in normal working hours falling within the number of hours without overtime (as defined by paragraph 1 of this Schedule)”.

(7) Any payments made to the employee by his employer in respect of the relevant part of the period of notice, whether by way of sick pay, holiday pay or otherwise, shall go towards meeting the employer's liability under this paragraph.

(8) Where the notice was given by the employee, the employer's liability under this paragraph shall not arise unless and until the employee leaves the service of the employer in pursuance of the notice.

(9) References in this paragraph to remuneration varying with the amount of work done include references to remuneration which may include any commission or similar payment which varies in amount.

Employments for which there are no normal working hours

3.—(1) This paragraph shall apply if there are no normal working hours for the employee when employed under the contract of employment in force in the period of notice.

(2) For each week of the period of notice the employer shall be liable to pay the employee a sum not less than his average weekly rate of remuneration in the period of twelve weeks ending with the last complete week before the notice was given.

(3) In arriving at the said average weekly rate of remuneration no account shall be taken of a week in which the employee worked

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for the employer for less than twenty-one hours ; and where, as a result, the period for which the average is to be taken would be less than eight weeks, account shall be taken of remuneration in earlier weeks so as to bring the number of weeks averaged up to eight.

(4) Subject to the next following sub-paragraph, the employer's obligation under this paragraph shall be conditional on the employee being ready and willing to do work of a reasonable nature and amount to earn remuneration at the rate mentioned in sub-paragraph (2).

(5) Sub-paragraph (4) shall not affect the liability of the employer—

(a) in respect of any period during which the employee is incapable of work because of sickness or injury, or

(b) in respect of any period during which the employee is absent from work in accordance with the terms of his employment relating to holidays,

and any payment made to an employee by his employer in respect of such a period, whether by way of sick pay, holiday pay or otherwise, shall be taken into account for the purposes of this paragraph as if it were remuneration paid by the employer in respect of that period.

(6) Where the notice was given by the employee, the employer's liability under this paragraph shall not arise unless and until the employee leaves the service of the employer in pursuance of the notice.

Sickness or industrial injury benefit

4.—(1) The following provisions of this paragraph shall have effect where the arrangements in force relating to the employment are such that—

(a) payments by way of sick pay are made by the employer to employees to whom the arrangements apply, in cases where any such employees are incapable of work because of sickness or injury, and

(b) in calculating any payment so made to any such employee an amount representing, or treated as representing, sickness benefit or industrial injury benefit is taken into account, whether by way of deduction or by way of calculating the payment as a supplement to that amount.

(2) If during any part of the period of notice the employee is incapable of work because of sickness or injury, and—

(a) one or more payments, either by way of sick pay or as amounts required to be paid by virtue of this Schedule, are made to him by the employer in respect of that part of the period of notice, and

(b) in calculating any such payment such an amount as is referred to in sub-paragraph (1)(b) of this paragraph is taken into account as therein mentioned,

then for the purposes of this Schedule the amount so taken into account shall be treated as having been paid by the employer to the employee by way of sick pay in respect of that part of that period, and shall go towards meeting the liability of the employer under paragraph 2 or paragraph 3 of this Schedule accordingly.

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Absence on leave granted at request of employee

5. The employer shall not be liable under the foregoing provisions of this Schedule to make any payment in respect of a period during which the employee is absent from work with the leave of the employer granted at the request of the employee.

Notice given before a strike

6. No payment shall be due under this Schedule in consequence of a notice to terminate a contract given by an employee if, after the notice is given and on or before the termination of the contract, the employee takes part in a strike of employees of the employer.

In this paragraph "strike" has the same meaning as in Schedule 1 to this Act.

Termination of employment during period of notice

7.—(1) If, during the period of notice, the employer breaks the contract of employment, payments received under this Schedule in respect of the part of the period after the breach shall go towards mitigating the damages recoverable by the employee for loss of earnings in that part of the period of notice.

(2) If, during the period of notice, the employee breaks the contract and the employer rightfully treats the breach as terminating the contract, no payment shall be due to the employee under this Schedule in respect of the part of the period of notice falling after the termination of the contract.

Supplemental

8. In arriving at an average hourly rate or average weekly rate of remuneration under this Schedule—

(a) account shall be taken of work for a former employer within the period for which the average is to be taken if by virtue of paragraph 9 of Schedule 1 to this Act a period of employment with the former employer counted as part of the employee's continuous period of employment with the later employer, and

(b) "week" means, for an employee whose remuneration is calculated weekly by a week ending with a day other than Saturday, a week ending with that other day, and, for other employees, means a week ending with Saturday.

9. Where under this Schedule account is to be taken of remuneration or other payments for a period which does not coincide with the periods for which the remuneration or other payments are calculated, the remuneration or other payments shall be apportioned in such manner as may be just.

SCHEDULE 3**Section 13.****REPEALS**

Chapter	Short Title	Extent of Repeal
1963 c. 49.	The Contracts of Employment Act 1963.	The whole Act.
1965 c. 62.	The Redundancy Payments Act 1965.	Sections 37 to 39. Section 48(7). In section 59(2), paragraphs (a) and (b) of the proviso.
1971 c. 72.	The Industrial Relations Act 1971.	Sections 19 to 21. Schedule 2.